

CHAPTER FOUR

ANALYZING RENTAL OPPORTUNITIES

Just when you think things couldn't get more complicated, we throw real estate investing at you. Though it sounds intimidating, what we'll talk about here is actually quite simple. Anyone can do it, and by taking that scary leap into the world of investing, you'll be miles ahead of your more traditional peers.

We're the first to admit that we, the authors, are inherently biased. We've both invested in real estate and have personally experienced the countless benefits from doing so. We represent BiggerPockets.com, a real estate investing and wealth-building community, and have seen people all over the world enjoy the same benefits. If you don't believe us, we won't spend too much time trying to convince you, but there are countless other books and resources that demonstrate the power of real estate investing as a wealth-building tool.

Still, you may not be reading this book with the intention of becoming a landlord with multiple properties. That's fine, but we think that every homeowner should have at least a basic understanding of how their house will fare as a rental. If a homeowner needs to move abruptly and can't sell their house, renting it out to tenants is the next best thing (or maybe even better). History—even the last decade alone—has proved that the basics of real estate investing are essential knowledge for all homeowners, and ignoring this option as a potential exit strategy can impose an expensive limit on your life options.

There are plenty of books out there that provide far greater detail on being a landlord and investing in rental property, and we encourage you to read them to expand your knowledge. This book will focus only on the basics of cash flow in the context of buying a house, since you should at